Advanced Transaction Monitoring Masterclass

sumsub

Module 2

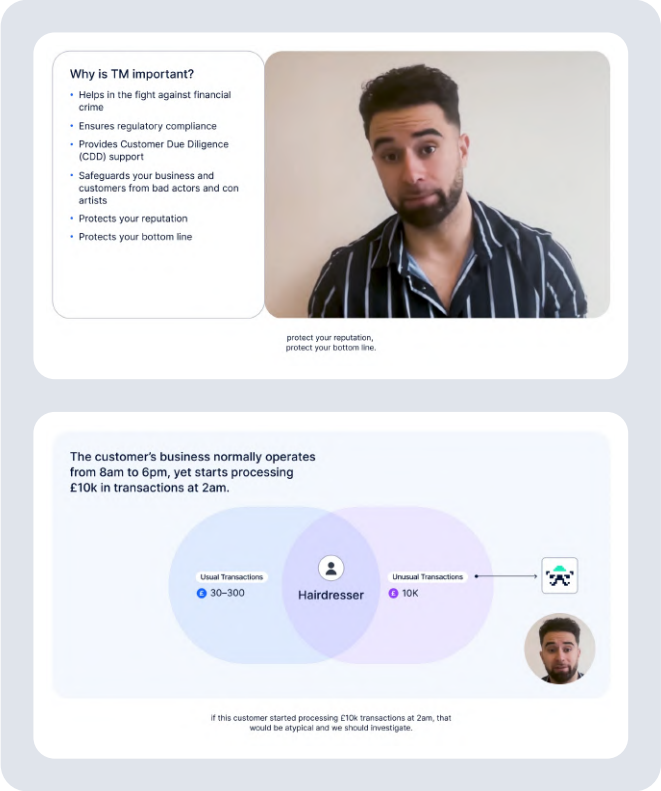
sumsub

Transaction monitoring deep dive, red flags, alerts, documentation, and risk calibration

Hosted by Álvaro Garcia, Transaction Monitoring Technical Manager at Sumsub, ACAMS Certified

Álvaro specializes in several areas of law, including criminal, civil, and commercial. He also has experience working with law enforcement and police authorities, which enriches his technological and legal skills.

Key session takeaways

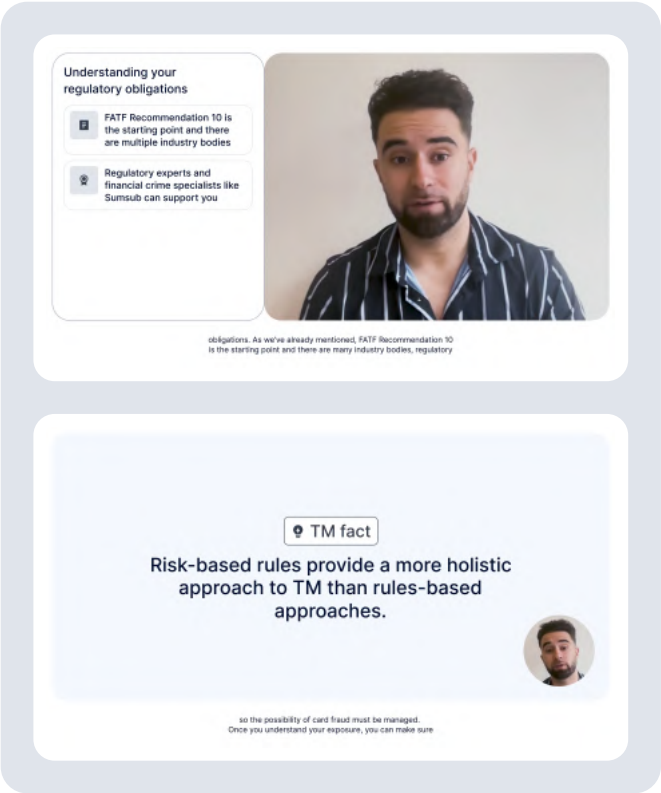


Session 1: Why Transaction Monitoring Matters

Transaction monitoring helps you to:

- Prevent financial crime
- Ensure regulatory compliance
- Provide Customer Due Diligence (CDD) support
- Safeguard your business and customers from bad actors and con artists
- Protect your reputation and bottom line

Understanding users' behavior: Transaction monitoring helps financial institutions to get a complete picture of user activities. Customers are required to self-report information, and TM is used to ensure it matches what is expected.

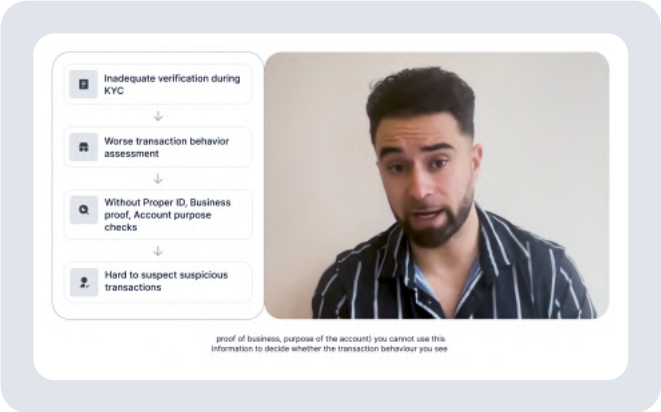


Session 2: How to Get Started

Relevant regulations: Financial Action Task Force (FATF) Recommendation 10 is the starting point for understanding the regulatory landscape.

Keeping up with new criminal practices: Regularly reassess your definition of a typical customer, and analyze your transaction alerts to understand their effectiveness.

How suspicious activity reports are submitted: A SAR has to be submitted when a business suspects money laundering. Regulators rarely request SARs on their own, which means that companies must immediately report suspicious behavior of their own volition.



Session 3: Identifying High-Risk Indicators

FATF recommendations: Conduct ongoing sanctions checks on your customers and counterparties
to transactions and apply controls
of Politically Exposed Persons (PEPs).

Nonprofit organizations: NPOs can be used as conduits for terrorist financing and money laundering.

Real-world case study: Santander. The Financial Conduct Authority (FCA) fined Santander over £102 million in 2019 after they found serious and persistent gaps in its anti-money laundering (AML) controls.

The Ultimate KYC/AML Guide for Fintechs

Download your free guide →